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Construction Partners (ROAD): Sell

Analyst: Justin Wen

A Sunbelt paving compounder priced for perfection. At $87, ROAD trades 29% above our $61 base case. A realistic WACC for a leveraged cyclical changes the math.

Sell	$61	$86.81	-30%
RATING	BASE TARGET (BLENDED $66)	SPOT (OCT 9, 2026)	DOWNSIDE TO BASE

$34 / $104	8.6%	$3.36B	$3.66B	$1.79B	0.95
BEAR / BULL TARGETS	LIVE WACC	RECORD BACKLOG	FY26 GUIDE (MID)	NET DEBT	EQUITY BETA

Executive summary

We update our Construction Partners model with a **Sell** and a $61 base-case target (blended $66). ROAD is a vertically integrated Sunbelt infrastructure company with a genuine localized moat: hot-mix asphalt must be laid within 60-90 minutes of the plant, creating spatial monopolies around its plant clusters across eight states. The $3.36B record backlog and FY2026 guidance of $3.64-3.68B (+30% YoY) show the IIJA and Sunbelt migration tailwinds working.

Our five-year DCF (4.5% / 8.5% / 13.5% revenue CAGRs, FCF margins normalizing to 6% / 7% / 8%) yields Bear $34, Base $61, Bull $104 at an 8.6% live WACC. The stock has fallen 29% from $120 to $87, but still trades 29% above our base case. The prior 7.6% WACC ignored the risk of 3.2x leverage on a cyclical construction business; a 1% cyclical/leverage premium corrects that.

> **Our read:** the drawdown has brought ROAD back to fair value, but not to a bargain. Our reverse DCF shows $87 implies 12.7% revenue growth, between our base and bull cases. The $1.79B of net debt (3.2x EBITDA) is the constraint: deleveraging toward 2.5x must happen before the equity can re-rate. We are constructive on the franchise but patient on the price.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	4.5%	8.5%	13.5%
2030 revenue ($B)	4.56	5.51	6.89
2030 FCF margin	6%	7%	8%
Terminal growth	2.5%	3.0%	3.5%
Target per share	**$34**	**$61**	**$104**

WACC 8.6% live (spot 10Y 5.24% + 0.95 beta x 3.37% implied ERP + 1.0% cyclical/leverage premium). Gordon terminal. Net debt $1.79B; 56.76M shares.

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Bull case: $104 DATA-CENTER BOOM

Hyperscale AI site preparation accelerates across Texas and Oklahoma, IIJA funds flow ahead of expiry, and deleveraging expands margins. Revenue grows at 13.5% to $6.9B with 8% FCF margins. Worth $104, 19% above spot.

Bear case: $34 LEVERAGE BITES

High rates persist, weather disrupts paving seasons, and the 3.2x leverage constrains bidding. Revenue grows at 4.5% to $4.6B, FCF margins stall at 6%. Worth $34, 61% below spot.

Verdict

> **We rate ROAD Sell.** The franchise is excellent but at $87 the stock trades 29% above our $61 base case once the discount rate reflects leverage and cyclicality. The risk-reward is skewed: 19% upside to the bull case against 61% downside to the bear case. We would revisit below $50.

What would change our mind

- **Price:** a decline below $70 would make the risk-reward compelling.
- **Deleveraging:** net leverage below 2.5x would reduce interest drag and lift targets.
- **Backlog acceleration:** data-center awards pushing backlog above $4B would support the bull case.

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Key themes

1. Spatial monopoly is a real moat STABLE

Asphalt's 60-90 minute lay window creates natural regional monopolies. ROAD's plant clusters command top-1 or top-2 share within 50 miles, with upstream integration into aggregates and liquid asphalt.

2. IIJA provides multi-year visibility ACCELERATING

Public infrastructure (60-65% of revenue) benefits from fixed federal allocations and state gas taxes, providing 3-5 years of recurring revenue visibility.

3. Data-center site prep is the growth kicker ACCELERATING

Expanded Texas and Oklahoma footprint positions ROAD for hyperscale AI site preparation, the fastest-growing private revenue stream.

4. Leverage is the constraint DECELERATING

$1.89B of debt against $95M of cash (3.2x EBITDA) reflects the M&A-driven expansion. Deleveraging toward 2.5x is the key financial milestone.

Other KPIs

METRIC	VALUE
Market cap (at $86.81)	$4.93B
Enterprise value	$6.72B
Q3 FY26 revenue / YoY	$999M / +28%
Q3 EPS / beat	$1.08 / +$0.07
Adj. EBITDA margin	16.3%
Net debt / EBITDA	3.2x

Guidance

Q4 FY2026 results are due November 19. Consensus expects $3.08 EPS for FY2026. Watch backlog conversion, deleveraging progress, and data-center award announcements.

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Reverse DCF: what the market is pricing in

At $86.81, ROAD carries a $4.93B market cap and a $6.72B enterprise value. The market-implied five-year revenue CAGR is **about 12.7%**, between our base case (8.5%) and bull case (13.5%).

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~12.7%	$86.81 (spot)
Bull case	13.5%	**$104**
Base case	8.5%	**$61**
Bear case	4.5%	**$34**

The market is pricing in strong execution, which the backlog supports. The valuation is fair; deleveraging is the catalyst to watch.

Model

https://docs.google.com/spreadsheets/d/1aH0EPOQIILSlnet4bekLQPBW2U_o3yw3MZLaflZZ0fg/edit?usp=drivesdk

Risks to our Sell

- Interest rates staying higher for longer would pressure the leveraged balance sheet.
- Severe weather seasons reducing billable paving days.
- Commodity spikes in liquid asphalt compressing margins before index adjustments catch up.

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